

Community debentures, also backed by HUD, were authorized by a Federal law passed in 1968. About \$350 million of these debentures were issued through 1975, but the program was terminated in 1983.

\* A bond's "coupon" is its interest rate; a "low-coupon" bond pays a rate of interest income below the market average.

\* While Graham's logic remains valid, the numbers have changed. Corporations can currently deduct 70% of the income they receive from dividends, and the standard corporate tax rate is 35%. Thus, a corporation would pay roughly \$24.50 in tax on \$100 in dividends from preferred stock versus \$35 in tax on \$100 in interest income. Individuals pay the same rate of income tax on dividend income that they do on interest income, so preferred stock offers them no tax advantage.

<sup>1</sup> For more about the distinction between physically and intellectually difficult investing on the one hand, and emotionally difficult investing on the other, see Chapter 8 and also Charles D. Ellis, "Three Ways to Succeed as an Investor," in Charles D. Ellis and James R. Vertin, eds., *The Investor's Anthology* (John Wiley & Sons, 1997), p. 72.

<sup>2</sup> A recent Google search for the phrase "age and asset allocation" turned up more than 30,000 online references.

<sup>3</sup> James K. Glassman and Kevin A. Hassett, *Dow 36,000: The New Strategy for Profiting from the Coming Rise in the Stock Market* (Times Business, 1999), p. 250.

<sup>4</sup> For a fascinating essay on this psychological phenomenon, see Daniel Gilbert and Timothy Wilson's "Miswanting," at [www.wjh.harvard.edu/~dtg/Gilbert\\_&\\_Wilson\\_\(Miswanting\).pdf](http://www.wjh.harvard.edu/~dtg/Gilbert_&_Wilson_(Miswanting).pdf).

<sup>5</sup> For the sake of simplicity, this example assumes that stocks rose instantaneously.

<sup>6</sup> For the 2003 tax year, the bottom Federal tax bracket is for single people earning less than \$28,400 or married people (filing jointly) earning less than \$47,450.

<sup>7</sup> Two good online calculators that will help you compare the after-tax income of municipal and taxable bonds can be found at [www.investinginbonds.com/cgi-bin/calculator.pl](http://www.investinginbonds.com/cgi-bin/calculator.pl) and [www.lebenthal.com/index\\_infocenter.html](http://www.lebenthal.com/index_infocenter.html). To decide if a "muni" is right for you, find the "taxable equivalent yield" generated by these calculators, then compare that number to the yield currently available on Treasury bonds (<http://money.cnn.com/markets/bondcenter/> or [www.bloomberg.com/markets/C13.html](http://www.bloomberg.com/markets/C13.html)). If the yield on Treasury bonds is higher than the taxable equivalent yield, munis are not for you. In any case, be warned that municipal bonds and funds produce lower income, and more price fluctuation, than most taxable bonds. Also,